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AI Governance Diagnostic Report

Riverside Community Trust (fictional)

Charity (UK) · Engagement ref CLR-6B55F221 · 16 October 2026

HIGH RISK

Confidential · Not for distribution
Engine v1.6 · Library v1.9.8

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Engagement ref	CLR-6B55F221	**Date issued**	16 October 2026
Organisation	Riverside Community Trust (fictional)	**Engine version**	v1.6 · Library v1.9.8
Sector	Charity (UK)	**Active layers**	core, gdpr, uk_charity

HIGH RISK: 12 governance gaps identified. 0 Critical · 9 High · 3 Medium

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
0	9	3	0	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This diagnostic identified 12 governance gaps across Riverside Community Trust (fictional)'s AI deployment in the Charity (UK) sector, spanning decision governance and audit capability, data protection and individual rights, and charity governance and donor-data protection. The full findings, regulatory consequences, and remediation actions are set out in this report.

The gaps identified do not represent isolated process failures. They represent the absence of structural governance controls that regulators, courts, and insurers increasingly treat as baseline obligations. Where multiple gaps are present simultaneously, the risk is not additive. It is compounding. A single incident touching an ungoverned AI system will expose every gap at once.

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Gap Findings

Riverside Community Trust (fictional) · Charity (UK) · 16 October 2026

Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

HIGH

G03-CORE-AUDIT

Audit void

Someone affected by a decision disputes it and asks to see the record. The decision happened. The record of it did not.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · EU AI Act Art 12

HIGH

G04-CORE-ACCOUNTABILITY

Accountability gap

Something goes wrong and the question lands on one desk: who was overseeing this system? The honest answer is no one was, formally, even though someone's name sits next to it.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · EU AI Act Art 14

HIGH

GDPR-G01-LAWFUL-BASIS

No documented lawful basis for AI data processing

An ICO investigation starts with one question: what is the lawful basis for this processing? If the answer was never written down, there is nothing to produce.

Regulatory obligations: UK GDPR Art 6 · UK GDPR Art 9 · DUAA 2025 · ICO Lawful Basis Guidance · Data Protection Act 2018

HIGH

GDPR-G04-DSR-PROCESS

No process for handling data subject rights in AI systems

Someone contests an automated decision about them, which is their right under UK GDPR. There is no process on the other end to receive that challenge, only silence.

Regulatory obligations: UK GDPR Arts 15-22 · UK GDPR Art 22C · DUAA 2025 · ICO DSR Guidance · Data Protection Act 2018 s.167

HIGH

GDPR-G05-VENDOR-DPA

No Data Processing Agreements with AI vendors

A vendor audit, or worse a breach at the vendor, raises an obvious question: what can you compel them to do? Without a DPA in place, the answer is nothing. No deletion right, no processing restriction, no indemnity.

Regulatory obligations: UK GDPR Art 28 · UK GDPR Art 32 · ICO Controller-Processor Guidance · Data Protection Act 2018

HIGH

UK-CHARITY-G01-CC-ACCOUNTABILITY

No named trustee accountable for AI operating in the charity's name

The Charity Commission opens an inquiry and asks which trustee was accountable for decisions the AI system shaped. The charity has no answer.

Regulatory obligations: Charity Commission CC3 - The essential trustee: duty to act with reasonable care and skill and to manage the charity's resources responsibly · Charity Commission CC20 - Charity fundraising: a guide to trustee duties (trustees remain accountable for fundraising, including AI use) · Charity Commission CC29 - Conflicts of Interest: decision governance requirements · Charities Act 2011 s.177 - charity trustees are the persons having general control and management of the administration of the charity · NIST AI RMF Govern 1.1 - organisational AI governance accountability

HIGH

UK-CHARITY-G02-GIFT-AID-DATA

No compliant data governance for AI processing of donor data, including Gift Aid records

A donor submits a Subject Access Request and asks why they were selected for an appeal. The charity cannot say what its AI system processed about them or where the wealth data came from.

Regulatory obligations: UK GDPR Article 5(1)(b) - purpose limitation · UK GDPR Article 13/14 - transparency and disclosure obligations · HMRC Charities: detailed guidance notes - Gift Aid declarations and the records charities must keep · ICO direct marketing guidance and PECR - lawful basis and transparency for profiling and donor outreach · Fundraising Regulator Code of Fundraising Practice - donor data use standards · Charity Commission CC20 - Charity fundraising: a guide to trustee duties (donor records; following the Code of Fundraising Practice)

HIGH

UK-CHARITY-G06-AI-CONTENT

AI-generated content published in the charity's name without approval, labelling and records

A supporter complains that an appeal image showed a person who does not exist. The charity cannot say who approved it or show any check was made.

Regulatory obligations: Fundraising Regulator - Guidance for using artificial intelligence in fundraising (8 December 2025): human checks before use, clear labelling of AI-generated content, records of checks and decisions · Fundraising Regulator - Code of Fundraising Practice (in force 1 November 2025) · Charity Commission CC20 - Charity fundraising: a guide to trustee duties (updated February 2026; refers to AI tools used to write fundraising content) · Charity Commission CC3 - The essential trustee: duty to act with reasonable care and skill

HIGH

UK-CHARITY-G07-PLATFORM-AI

AI features in existing platforms can act in the charity's name without review

A platform's automated feature runs AI-generated ads in the charity's name that nobody approved. The charity finds out from criticism online.

Regulatory obligations: Fundraising Regulator - Guidance for using artificial intelligence in fundraising (8 December 2025): charities remain accountable for AI use, including outputs generated by third parties · Fundraising Regulator - Code of Fundraising Practice (in force 1 November 2025) · Charity Commission CC20 - Charity fundraising: a guide to trustee duties (updated February 2026; refers to AI tools used to write fundraising content) · UK GDPR Article 28 - processor obligations where platform AI processes personal data

MEDIUM

G02-CORE-PROVENANCE

Provenance weakness

A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all.

Regulatory obligations: UK GDPR Art 5(1)(d) · UK GDPR Art 22C · DUAA 2025 · ICO Data Accuracy Guidance

MEDIUM

GDPR-G02-PURPOSE-LIMITATION

Personal data used by AI beyond its original collection purpose

Someone asks why their data ended up feeding an AI system they never knew existed. The honest answer is that it was collected for something else entirely, and no one checked whether feeding it to this system was still compatible with that original purpose.

Regulatory obligations: UK GDPR Art 5(1)(b) · UK GDPR Art 6 · DUAA 2025 Art 8A · ICO Purpose Limitation Guidance

MEDIUM

UK-CHARITY-G08-BOARD-AI-POLICY

No board-approved AI policy and AI not named on the risk register

A funder asks to see the charity's AI policy and how trustees oversee AI risk. There is no policy and AI is not on the risk register.

Regulatory obligations: Charity Governance Code 2025 (voluntary) - suggests a policy on the use of technology and AI · Charity Commission CC26 - Charities and risk management · Charity Commission CC3 - The essential trustee: duty to act with reasonable care and skill · Fundraising Regulator - Guidance for using artificial intelligence in fundraising (8 December 2025): agree and publish an AI policy

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Regulatory Obligations

The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
UK GDPR Art 6	Lawful basis must be documented for every AI processing activity involving personal data	GAP
UK GDPR Art 22C	Human review mechanism required for automated decisions affecting individuals	GAP
UK GDPR Art 28	Data Processing Agreements required with every AI vendor processing personal data	GAP
DUAA 2025	AI-specific data rights and oversight obligations under the Data Use and Access Act	REVIEW
Charity Commission CC3 / Charities Act 2011	Trustees act with reasonable care and skill and stay accountable for AI-assisted decisions	GAP
Charity Commission CC20 / Code of Fundraising Practice	Trustees remain accountable for fundraising, including AI-driven targeting and use of donor data	GAP
PECR / ICO direct marketing guidance	Lawful basis and transparency for profiling supporters and AI-assisted donor outreach	GAP
Charities Act 2011 s.4 / Charity Commission PB2	AI-assisted decisions traceable to the charity's purposes and public benefit	REVIEW
DPA 2018 Schedule 1	Documented conditions for AI processing of volunteer, staff and DBS data	REVIEW
Safeguarding duties / Charity Commission serious incident reporting	Named human reviewer able to intervene before AI decisions affect children or adults at risk	REVIEW
Fundraising Regulator AI in fundraising guidance (Dec 2025)	Human checks, clear labelling and records for AI-generated content issued in the charity's name	GAP
Fundraising Regulator AI guidance / CC20	Charity stays accountable for AI output from third-party platforms used in its name	GAP
Charity Governance Code 2025 / Charity Commission CC26	Board-approved AI policy and AI named on the risk register	GAP

NEXT STEP

Your Consultancy identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

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Remediation Roadmap

Riverside Community Trust (fictional) · Charity (UK) · 16 October 2026

One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	**G03-CORE-AUDIT** Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	**G04-CORE-ACCOUNTABILITY** Accountability gap	Have the accountable individual start an oversight log this week: date, decision reviewed, action taken or confirmed. Even a simple log converts a job title into a defensible position.	HIGH	your compliance lead
90 DAYS	**GDPR-G01-LAWFUL-BASIS** No documented lawful basis for AI data processing	Map every AI processing activity involving personal data to a specific UK GDPR Article 6 lawful basis and record it in a processing register. Complete within 30 days.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G04-DSR-PROCESS** No process for handling data subject rights in AI systems	Map every AI system holding personal data into the data subject rights response workflow. Document the Article 22C human review process. Implement the DUAA 2025 complaints mechanism.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G05-VENDOR-DPA** No Data Processing Agreements with AI vendors	Produce a register of every AI vendor processing personal data on your behalf. Execute DPAs with all of them. Until DPAs are in place, affected tools should not be used with personal data.	HIGH	your Data Protection Officer

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	**UK-CHARITY-G01-CC-ACCOUNTABILITY** No named trustee accountable for AI operating in the charity's name	Name a trustee owner this week. Minute it at the next board meeting.	HIGH	your board of trustees
90 DAYS	**UK-CHARITY-G02-GIFT-AID-DATA** No compliant data governance for AI processing of donor data, including Gift Aid records	Map what donor data your AI systems access this week. Confirm the lawful basis for each processing activity.	HIGH	your Data Protection Officer
90 DAYS	**UK-CHARITY-G06-AI-CONTENT** AI-generated content published in the charity's name without approval, labelling and records	Name an approver for AI content this week. Start a simple log of AI-generated items from the next piece published.	HIGH	your compliance lead
90 DAYS	**UK-CHARITY-G07-PLATFORM-AI** AI features in existing platforms can act in the charity's name without review	Check the AI settings in your advertising and email platforms this week. Switch off anything that can publish in your name without approval.	HIGH	your compliance lead
180 DAYS	**G02-CORE-PROVENANCE** Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect
180 DAYS	**GDPR-G02-PURPOSE-LIMITATION** Personal data used by AI beyond its original collection purpose	Identify every AI processing activity using data beyond its original collection purpose. Complete a compatibility assessment for each under DUAA 2025 Article 8A. Update privacy notices before the next data collection cycle.	MEDIUM	your Data Protection Officer
180 DAYS	**UK-CHARITY-G08-BOARD-AI-POLICY** No board-approved AI policy and AI not named on the risk register	Put AI on the agenda for the next board meeting. Add AI to the risk register now and bring a draft policy for approval.	MEDIUM	your compliance lead

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Evidence Appendix

Riverside Community Trust (fictional) · Charity (UK) · 16 October 2026

ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	No	Your AI system
A written decision boundary document exists	No	Rules and boundaries
That document is version-controlled and enforced at runtime	No	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	No	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	No	Records and accountability
A named individual is personally accountable for this system	Yes	Records and accountability
An incident, near-miss, or complaint has occurred	No	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Are trustees aware of and accountable for AI systems operating in the charity's name?	No	Charity Controls
	No	Charity Controls

QUESTION	RESPONSE	CATEGORY
Where AI processes donor data (giving history, Gift Aid records, profiling or wealth screening), is the lawful basis documented and have donors been told?		
Can you demonstrate how AI decisions serve the charity's public benefit purpose?	**Yes**	Charity Controls
Is volunteer personal data processed by AI under a lawful basis and with appropriate controls?	**Yes**	Charity Controls
Does this AI system affect children, adults at risk, or people in crisis, for example through referrals, eligibility, case prioritisation, helpline or support responses?	**Yes**	Charity Controls
Are safeguarding controls in place for any AI system that affects vulnerable beneficiaries?	**Yes**	Charity Controls
Does the charity use AI to create fundraising appeals, campaign content, images, video or other material published in its name?	**Yes**	Charity Controls
Is every AI-generated item checked and approved by a named person before it is published, are AI-generated images or people made clear to the public, and is a record kept of those checks?	**No**	Charity Controls
Have you checked which of your existing platforms (advertising, CRM, email, website and office software) have AI features switched on that can create content or take actions in the charity's name, and approved or switched off each one?	**No**	Charity Controls
Has the board approved a written AI policy, and is AI named as a risk on the charity's risk register?	**No**	Charity Controls

ASSESSMENT INTEGRITY

Organisation: Riverside Community Trust (fictional)
Sector: Charity (UK)
Run ID: 6b55f221-d55c-4563-9643-ac9425373cdf
Engine version: v1.6 · **Library version:** v1.9.8
Active layers: core, gdpr, uk_charity
Findings hash: fcee2a68d8d0eca3b9f14ce0096f21343cc5376bb00f6a6fdaf4dc6051620cb9
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